citizens who were unprepared and fall on hard times. It will not only bring personal satisfaction but will make your community a more pleasant place to live.

Taking precautions such as those outlined in this chapter is simply a purchase of an unorthodox type of insurance. Be prepared for the worst and you will find that there is a lot less to worry about. Of utmost practical importance is the fact that if the outlook described in this book is entirely wrong, you will not lose money, but will have suffered merely by making less money (in safe interest-bearing instruments) than those who took risks. If the forecasts do come to pass, and if you arrange your affairs so that you have survived and prospered, you will be in the extreme minority.

Most people are doing the opposite of the preceding advice, as market psychology is positioned perfectly to prevent conventional analysts and their clients from profiting from the trend change that is imminent. In response to confident optimism among economists, many people who still have cash and credit are rushing out to buy property, stocks, junk bonds and businesses, and they are leveraging and extending themselves in the process. Do not fall into that trap. If you have not yet prepared for the depression and are not already stuck (say, in condominiums in New England), the powerful optimism that is now in place at the peak of the current short term business cycle is providing an excellent (and final) opportunity to get as liquid as possible. With the pressure off the economy in the past year or so, you have been given another brief window of opportunity to make final plans for the long term safety of your capital. Use this window of opportunity to your advantage. My job in the early 1980s was to prepare you to make money. My job today is to convince you to protect your assets. As long as the come-hither siren songs of "new Dow highs," "world peace forever," and "soft landing; no recession" continue to beckon, that job is not over.

Ultimately, the decision to act or not to act is yours. *The Elliott Wave Theorist* addressed the same point on May 2, 1983, saying, "As certain as I may be about how conditions will evolve [after the top], my forecasts are hardly infallible. For now, you should concern yourself with whether I am right on the extent of this bull market."

Since my outlook could be wrong, should you wait until the market falls to make up your mind to take action? Well, did you know that, following the recent devaluation of the Mexican peso, three offshore funds that invest in Mexico simply suspended operations for several weeks? If the SEC gives the go-ahead, *any* mutual fund can suspend redemptions, and its investors would